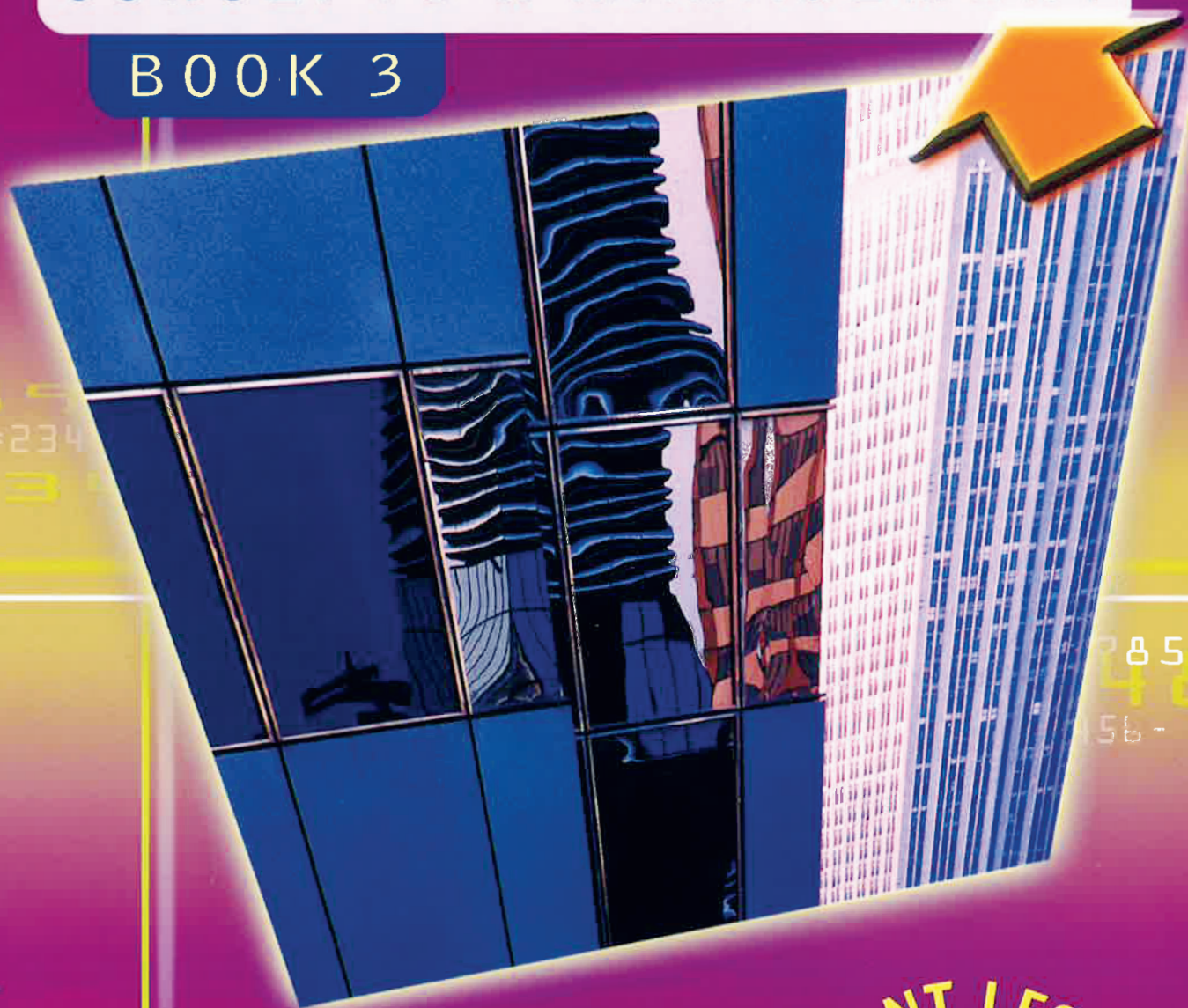


A close-up, slightly blurred image of a calculator's keypad and display, serving as a background for the top section of the cover.

ACCOUNTING

CONCEPTS & MANAGEMENT

BOOK 3



Suzanne Collings



Quality ready-to-use
resources



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Introduction

Instant Lessons in Accounting Book 3 is part of a three-book series that concentrates on the understanding of accounting information. It provides wide ranging practical worksheets for senior students that are suitable for various state syllabuses.

There are a range of activity styles to challenge student understanding, including completion of practical exercises, crosswords, preparation of graphs, word matching, calculations of ratios and the discussion of the meaning of accounting information.

Most of the worksheets provide space for students to answer directly on them; a few require students to use their own workbooks. Selected answers are provided to assist in marking.

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1 INTRODUCTION to ACCOUNTING

Terms you should know

Accounting equation – expresses the relationship between the amounts owned by the business and the amounts owed by the business. Usually expressed as $A = L + P$ or $A = L + OE$ (owner's equity).

Assets – item of financial value owned or controlled by the business, it has future benefits for the business.

Entity assumption – the affairs of the business and the affairs of the owner must be kept separate

Liabilities – amounts owed by a business

Owner's equity – the amount the business owes to the owner, and is equal to assets minus liabilities. Also known as proprietorship or net worth.

- 1 Assets** From the information provided below, calculate the value of the assets of the business ABS Printing.

Computer for financial records	5 000
Family home	200 000
Bank account of business	3 160
Bicycle for deliveries	2 000
Mortgage on home	150 000
Daughter's school books	400
Value of assets	?

- 2 Liabilities** From the information provided below, calculate the value of the liabilities of the business Quick Print.

Office furniture	15 000
Amount owing to parents for purchase of boat	40 000
Amount owing on printing machine	75 000
Bank overdraft	4 620
Amount owing on office furniture	10 000
Boat	80 000
Printing machine	160 000
Value of liabilities	?

- 3 Owner's equity** Fill the gaps (marked by ?).

Assets	Liabilities	Owner's equity
25 000	12 000	?
?	22 000	64 000
110 000	?	40 000
45 000	13 000	?

- 4** Explain one similarity and one difference between a liability and owner's equity.

- 5** Label each item Asset or Liability, then calculate the owner's equity.

Motor vehicle	20 000
Bank overdraft	5 700
Terms deposit at bank	10 000
Loan from parents	30 000
Mortgage on premises	100 000
Premises	140 000
Owner's equity	?

- 6** Which of the following versions of the accounting equation are not valid?

- $A = L + OE$
- $A + OE = L$
- $A - OE = L$
- $A - L = OE$
- $A + L = OE$
- $L = A - OE$
- $OE = A + L$

- 7a** Calculate the owner's equity at the beginning and end of the period.

	July 1	December 31
Bank account	1 000	9 000
Equipment	20 000	20 000
Motor vehicle	18 000	18 000
Office building	230 000	230 000
Mortgage on office building	120 000	120 000
Loan – motor vehicle	13 000	13 000
Owner's equity	?	?

- 7b** Has the owner's equity increased or decreased during the period?

- 7c** How long has it taken for this change to take place? _____

- 7d** Explain how the change in owner's equity has been achieved.

- 8a** Calculate the owner's equity at the beginning and the end of the year.

	1 July 2004	30 June 2005
Bank account	1 505	(9 800)
Equipment	25 000	40 000
Office furniture	14 000	14 000
Office building	200 000	200 000
Mortgage on office building	130 000	125 000
Loan – Esanda		10 000
Owner's equity	?	?

- 8b** The total assets changed during the year because _____

- 8c** The total liabilities changed during the year because _____

- 8d** Has the owner's equity increased or decreased during the year? _____

- 8e** Explain why this has happened.

- 9** George Reed sets up a business called Financial Advisory Bureau in the local shopping centre. Read each of the statements in the table and decide if it is True or False.

George's business is a service business	
George puts \$20 000 into a bank account for the business. This is called a liability.	
George takes \$5000 from the business bank account to buy office furniture. This will decrease the assets of the business.	
George decides to use his personal computer (valued at \$2 300) in the business. This will increase the owner's equity of the business.	
The business buys a telephone system from Telstra for \$1 000. Telstra offers 6 months free credit that George accepts. The liabilities of the business have increased.	
The accounting equation for George's business is: Assets (\$24 300) + Liabilities (\$1 000) = Owner's equity (\$22 300)	

- 10a** Fill the gaps in the table below.

Assets		
Bank account	4 500	
Motor vehicle	?	
Premises	100 000	
Office furniture	19 000	
		140 000
Liabilities		
Loan from bank	?	
Loan from Esanda	25 000	
		90 000
Owner's equity		?

- 10b** Does this business rely more on funds from external parties or the owner? How can you tell?

- 11** Are there disadvantages in relying on funds from external parties? Explain.

2 CLASSIFICATION of ASSETS and LIABILITIES

Terms you should know

Current assets – items of value owned or controlled by the business that are cash or will be turned into cash within a period of 12 months

Current liabilities – amounts owed by the business that must be paid within a period of 12 months

Non current assets – items of value owned or controlled by the business that will be of benefit to the business for a period longer than 12 months

Non current liabilities – amounts owed by the business that will not need to be paid within the next 12 months

- 1 Non current assets** Sort the list below into current and non current assets and calculate the total value of each.

	\$	Current assets	Non current assets
Bank account	3 250		
Office furniture	8 900		
Computer	6 500		
Protective clothing	250		
Computer disks	320		
Computer software programs	1 000		
Total value		?	?

- 2** Comment on your classification of computer software programs.

- 3** Sort the list below into current and non current liabilities and calculate the total value of each.

	\$	Current liabilities	Non current liabilities
Mortgage on office building	200 000		
Loan on computers – due in 6 months	8 000		
Bank overdraft	4 950		
Loan on motor vehicle – due in 4 years	30 000		
Total value		?	?

- 4** Match the terms with their definition.

Terms	Definitions
Owner's equity	A: Owner of a business
Current assets	B: Amount owed by the business that must be paid in the long term
Non current assets	C: Amount that must be paid within 12 months
Current liabilities	D: Amount owed to the owner by the business
Non current liabilities	E: The relationship between the assets and the liabilities of the business
Proprietor	F: Item of value that will be of use to the business in the short term
Accounting equation	G: Item of value that be of use to the business in the long term

- 5** Using the terms in the list, complete the following sentences:

- accounting equation
- current assets
- non current liabilities
- residual
- assets
- liabilities
- owner's equity
- short term

The _____ are items of value that will be used to earn income in the _____.

The _____ are those that will not need to be paid within the next 12 months.

The _____ of a business is calculated using the _____.

After the _____ of the business are deducted from the _____ of the business, the _____ is owed to the owner.

- 6** From the information in the list in columns 1 and 2, classify the assets and liabilities into current or non current and calculate the owner's equity.

Motor vehicle	35 000	Current assets		
Stock of stationery	550			
Bank overdraft	2 780			
Office equipment	14 000	Current liabilities		
Mortgage on premises	100 000			
Protective clothing	1 200			
Premises	150 000	Non current assets		
Loan on motor vehicle	20 000			
		Non current liabilities		
		Owner's equity		

- 7** Read the following statements and decide if they are True or False.

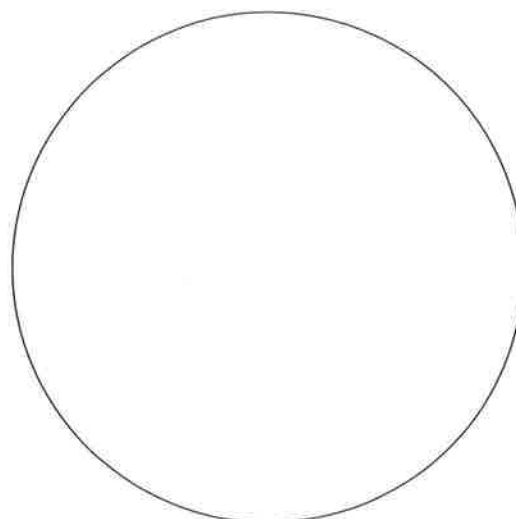
Owner's equity is the amount of money put in by the owner of the business when it was set up	
Current liabilities are amounts that must be paid within 12 months	
The accounting equation can be expressed as $A + OE = L$	
A bank overdraft is a current liability because it might be called in with one day's notice	
Non current assets are always of greater value than current assets	

- 8a** Calculate the owner's equity at the beginning and the end of the period.

	1 July 2004	31 Dec 2004
Current assets		
Bank	2 000	
Stock of materials	600	600
Current liabilities		
Amount owing on vehicle	5 000	4 000
Bank overdraft		9 000
Non current assets		
Vehicle	30 000	
Building		150 000
Non current liabilities		
Mortgage on building		80 000
Owner's equity	?	?

- 8b** How has the purchase of the building been financed?

- 9** From the information below, draw a pie chart for the business, showing the current assets, current liabilities, non current assets, non current liabilities and owner's equity.
- Office furniture – \$8 000
 - Bank account – \$4 500
 - Amount owing on office furniture – \$6 000 (due in 2 months)
 - Stock of computer paper – \$800
 - Motor vehicle – \$25 000
 - Loan from bank (due in 2 years) – \$10 000





3 QUALITATIVE CHARACTERISTICS/PRINCIPLES

Terms you should know

QUALITATIVE CHARACTERISTICS

Comparability – ability to compare accounting information from one accounting period to another

Materiality – accounting information includes all information whose omission or misstatement would affect the decisions of users

Relevance – inclusion of information that will influence the decisions of the users

Reliability – accounting information must represent the affairs of the business without bias or misstatement

Timeliness – reports must be prepared in sufficient time to form the basis of effective decisions

Understandability – the qualitative characteristic of reports that are easily understood by the users

PRINCIPLES

Accounting period (reporting period) – the period for which accounting reports are prepared. This cannot be longer than 12 months.

Conservatism – income should not be included until earned but expenses should be included as soon as they become liable. Profits should not be overstated.

Entity assumption – the affairs of the business and the affairs of the owner must be kept separate

Going concern – the business has a future life and will not cease in the foreseeable future

Historical cost – recording of assets at the price paid for them

Monetary – the principle of measuring all items in records and reports in a common monetary unit – eg Australian dollars

- 1** Which qualitative characteristics or principles affect the following decisions? There may be more than one that is relevant to each.

a	Peter and Pauline run a business called P + P Parties. The car they buy for their daughter is not included in the assets of the business, even though money was taken from the business bank account to buy it.	
b	Peter and Pauline ask their accountant to prepare their financial statements on a monthly basis as they need the information to use as a basis for management decisions	
c	The accountant advises Peter and Pauline that they should not change the length of the reporting period too often as this makes the decision making difficult	
d	Some of the equipment bought for the business comes from America and the price is quoted in US dollars. The accountant says that this must be converted to Aus \$.	
e	The accountant informs Peter and Pauline that there is no need to establish separate records within the accounting system for every small transaction.	
f	The assets of the business are recorded at the price paid for them.	

- 2** Which qualitative characteristics or principles are breached by the actions below?

a	Peter decides to revalue the assets of the business as he knows that he would have to pay more for them if they were bought today.	
b	Pauline wants to bring in the income from a party that has been arranged for 31 August.	
c	Peter thinks that the cost of counting the stock is too high and that it is not really worth it. A guess will be good enough for the reports.	
d	Pauline thinks that the cost of preparing accounting reports is too high, that it will be sufficient to just show the total of the assets and the liabilities, without the list of each.	
e	Peter wants to bring in the cost of food that was paid for on June 30 but will not be used until July 1.	
f	The accountant classified the cost of running the delivery van as a selling cost in one year, but showed it as motor expenses in the following year.	

3 Qualitative characteristics/principles (cont)

3 Explain, using the appropriate principle, why assets should not be written off as expenses as soon as they are purchased.

4 Explain what you understand by the statement 'the benefits of preparing reports that are 100% accurate may be outweighed by the costs involved'.

5 Place a ✓ next to the appropriate qualitative characteristic or principle that applies to the following statements.

a Units of measurement should have a constant value.

- ☐ Entity assumption ☐ Monetary principle
☐ Relevance ☐ Materiality

b The quality of accounting information influences the decisions made by management.

- ☐ Relevance ☐ Reliability
☐ Conservatism ☐ Accounting period

c Cash withdrawals by the owner are not expenses of the business.

- ☐ Monetary principle ☐ Relevance
☐ Understandability ☐ Entity assumption

d Financial reports should be prepared in such a way that users can easily interpret them.

- ☐ Historical cost ☐ Timeliness
☐ Understandability ☐ Comparability

e The business needs to calculate profit on a regular basis.

- ☐ Entity assumption ☐ Comparability
☐ Timeliness ☐ Accounting period

f Assets have a life expectancy beyond the current accounting period.

- ☐ Going concern ☐ Relevance
☐ Reliability ☐ Conservatism

g Accounting reports are not useful if their preparation is delayed for too long.

- ☐ Comparability ☐ Going concern
☐ Timeliness ☐ Materiality

h Transactions of small value do not significantly affect outcomes.

- ☐ Relevance ☐ Reliability
☐ Accounting period ☐ Materiality

6 Use the information below to provide a balance sheet (statement of financial position) which is an understandable document.

Current assets				
Bank overdraft	3 700			
Non current liabilities				
Loan – due 6 months	2 000			
Motor vehicle	25 000			
Non current assets				
Stock of supplies	1 500			
Loan – due 2 years	50 000			
Proprietorship				
Capital	?			
Current liabilities				
Drawings	4 000			
Equipment	40 000			

7 On a separate sheet, explain why the qualitative characteristic of relevance can be in conflict with the principle of historical cost.

4 TRANSACTIONS and DOCUMENTS

Examples of transactions and documents	
Transaction – economic or financial event in the life of a business	Document – evidence of transactions
Credit purchase or sale	Invoice
Return of goods purchased on credit	Credit note
Summary of transactions for the period (month)	Statement
Cash receipt	Receipt Cash register roll ATM receipt
Cash payment	Cheque ATM receipt

1 ✓ which of the following events are transactions.

- Purchase of stationery for cash
- Change of opening hours for the business
- Purchase of office furniture on credit
- Appointment of new shop manager
- Payment of wages
- Receipt of cash from customer
- Banking of cash

2 Which of the following transactions will affect the owner's equity?

- a Business purchases supplies of materials for use in provision of services
- b Owner contributes computer for use in business
- c Payment of wages
- d Services provided to customers for cash
- e Part repayment of loan to bank
- f Services provided to customers on credit
- g Purchase of office desk on credit
- h Owner withdraws cash for own use

3 Recalculate the accounting equation after each transaction:

- a Purchase of computer for use in office \$5 000 cash
- b Purchase of office desk on credit \$2 000
- c Owner takes home cash for own use \$600
- d Collection of cash from customer \$400 for cash sale
- e Payment for petrol \$100
- f Repayment of \$2 000 off loan

	Assets	Liabilities	Owner's equity
	6 000	2 000	4 000
a			
b			
c			
d			
e			
f			

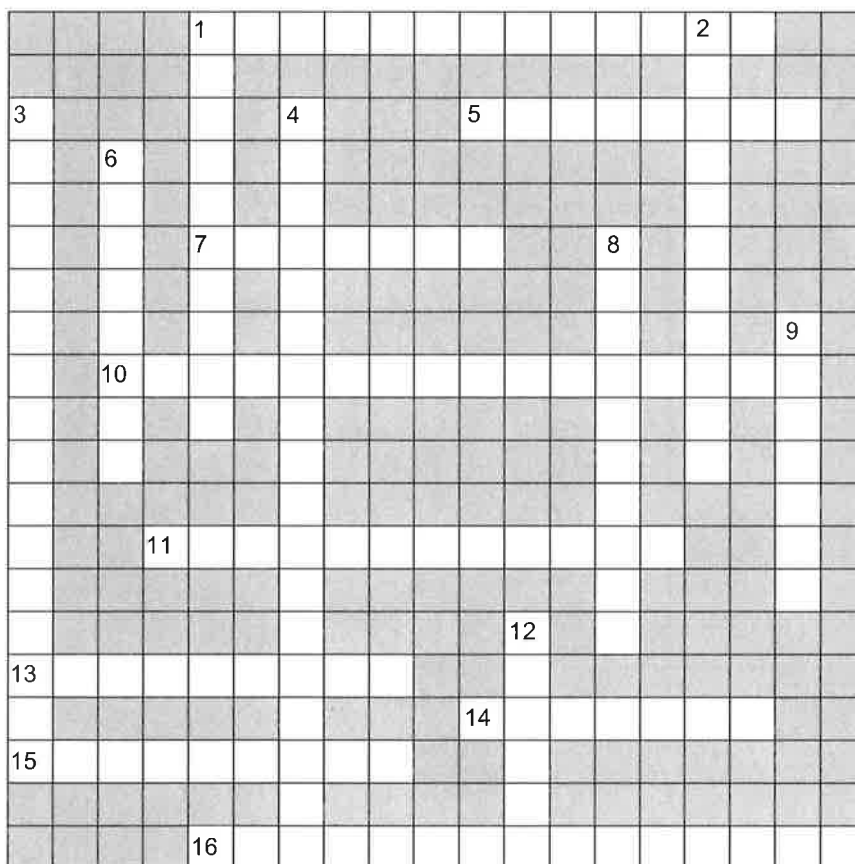
4 For each of the transactions below, give the document that would be used to record it.

	Transaction	Document
a	Purchase of milk and coffee for staff morning tea	
b	Provision of services for cash	
c	Payment of electricity account	
d	Provision of services on credit	
e	Goods returned to the business (they had been sold on credit)	

5 Complete the document below.

George's Fish Bar has a business account (No 35546) at the Bank of Anywhere, Smithtown branch. George pays the \$180 petrol account at the Mobil Service Station on 3 March 2005 (chq no 76889).

Date	_____	
Payee	_____	
This chq	Pay _____	Date _____ or bearer
Balance	The sum of _____	\$ _____
	_____	Signed _____

6 Complete the crossword.**Across**

1. Items of value able to provide immediate funds for the business 7, 6
5. Amount borrowed on security of property 8
7. The effect of the event on the financial affairs of the business 3, 4
10. States that the affairs of the business must be kept separate from the affairs of the owner 6, 10
11. Owner's share of the business 6, 6
13. Amount drawn from the bank greater than had been deposited 9
14. Used to record payment from customer 7
15. Amount owed in the short term 9

16. Item of value useful for a period longer than 12 months 3, 7, 6

Down

1. Used to record return of goods which had been purchased on credit 6, 4
2. Economic event in the life of a business 11
3. Records cash transactions through the till 4, 8, 4
4. States relationship between assets and liabilities 10, 8
6. A paper which provides evidence 8
8. Owner of a business 10
9. Used to record the sale of goods on credit 7
12. Document used to pay bills 6

5 PROFIT, INCOME, EXPENSES

Terms you should know

Expenses – costs incurred in the process of earning revenue

Income – revenue derived from the trading operations of a business

Loss – excess of expenses over revenues. Decreases owner's equity

Profit – excess of revenue over expenses

1 From the information provided, calculate the following:

a	Sales for the year	Debtors at the beginning of the period \$25 000 Cash sales \$55 000, Debtors at the end of the period \$69 000 Collections from debtors \$48 000	
b	Collections from Debtors during period	Debtors at the beginning of the period \$88 000, Cash sales \$30 000, Debtors at the end of the period \$92 000, Credit sales \$310 000	
c	Debtors at end of period	Debtors at the beginning of the period \$45 000, Cash sales \$17 000, Credit sales \$72 000 Collections from debtors \$65 000	

2 Calculate the profit or loss for the year ended 30 June 2005.

Cash fees	12 000	Working space
Collections from debtors	64 000	
Loan from bank	5 000	
Credit fees	57 000	
Wages	23 000	
Purchase of materials	16 000	
Cost of materials used	19 000	
Drawings of materials	500	
Advertising	4 000	
Electricity	1 100	
Motor expenses	1 400	Answer
Payments to creditors	18 000	

3 Indicate which of the items below affects which statements.

	Cash flow	Statement of financial performance (profit and loss statement)	Statement of financial position (balance sheet)
Cash sales			
Loan from bank			
Credit sales			
Wages			
Bad debts			
Electricity			
Repayment of loan from bank			
Advertising on credit			
Credit purchase of stock			
Cash drawings			
Unpaid telephone account			
Payment of advertising account			
Depreciation			

- 4** Distinguish between cash receipts and revenue, giving an example of each.

- 5** Distinguish between cash payments and expenses, giving an example of each.

- 6** List and explain 4 reasons why the owner's equity can change from the beginning of the year to the end of the year.

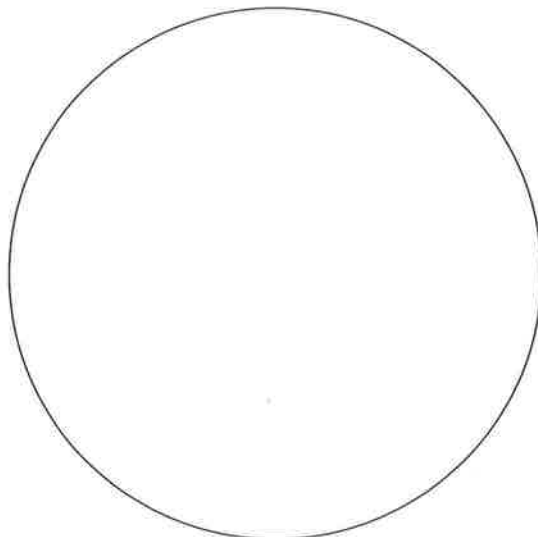
- 7** Explain 2 ways in which revenue can be increased.

a

b

- 8** Explain how increases in the price of an item can lead to a decrease in the revenue.

- 9** Draw a pie chart that shows:
- Profit of the business
 - Cash sales (\$25 000)
 - Credit sales (\$54 000)
 - Cost of goods sold (\$38 000)
 - Wages (\$22 000)
 - Other expenses (\$13 000).



6 ACCRUAL ACCOUNTING

Terms you should know

Accrual accounting – a method of recording and reporting where all revenue is included in the period in which it is earned and all expenses are included in the period where they are incurred

Accrued expenses – expenses that are incurred before they are paid (these are liabilities)

Accrued revenues – revenue that are earned but not yet received (these are assets)

Prepaid expenses – expenses that are paid before they are incurred (these are assets)

Prepaid revenues – revenues that are received before they are earned (these are liabilities)

- 1** From the information below, prepare a profit and loss statement (statement of financial performance) for year ended 30 June 2005 for Niva Trading.

Credit sales \$65 000	Revenue		
Debtors at 30 June \$6 000			
Cost of goods sold \$43 000			
Cash sales \$25 000			
Wages paid \$21 000			
Wages owing at 30 June \$2 000	Gross profit		
Electricity paid \$600			
Telephone paid \$800			
Telephone owing at 30 June \$300			
Rent paid \$4 000			
Rent prepaid at 30 June \$500			
Motor expenses paid \$1 200			
Drawings \$10 000			
Advertising paid \$8 000			
Advert. prepaid at 30 June \$1 200			
Depreciation \$2 500			
Repayment of loan \$5 000			
Interest received on loan \$600			
Interest owing at 30/6 \$200	Net profit/loss		

- 2** Match the terms in the first column with the statements in the last column.

Accrual accounting		A	Expenses paid but not yet incurred
Prepaid expenses		B	Revenues earned but not yet received
Prepaid revenue		C	A system of accounting which reports on revenues earned and expenses incurred
Accrued expenses		D	Revenues received but not yet earned
Accrued revenue		E	Expenses incurred but not yet paid

- 3** For each of the statements over the page, show on the diagram the amount that belongs in the accounting period 1 July 2004 to 30 June 2005, and the amount that belongs in the period before or after.

Example: Rent was paid on 1/5/04 for six months \$6 000



a Insurance premium was paid on 1/2/05 \$12 000 for 12 months



b Wages paid on 15/7/04 were for the preceding four weeks \$1 000 per week



c A deposit was received on 16/6/04 \$20 000 for a job which was to be done on 10/7/04



d A magazine received revenue for advertising placed in the magazine. \$20 000 was received on 18/7/05 for 4 weekly advertisements which were placed on 13/6/05, 20/6/05, 27/06/05 and 4/7/05.



4 Read each of the statements below and decide if they are True or False. Assume the accounting period is 1 July 2004 to 30 June 2005.

5 In cash accounting, profit can be reported as income received less expenses paid. Explain why this may not give a reliable result for a business.

6 Explain how the costs of reporting on the accrual basis may outweigh the benefits of doing so.

7 Explain why prepaid revenues are classified as current liabilities on the statement of financial position.

\$700 was paid for telephone expense in the accounting period. At the end of the period \$170 was outstanding. The telephone expense for the accounting period is \$870.	
Accrued revenues are classified as current liabilities on the statement of financial position.	
Wages paid in the period were \$27 000. At 1 July 2004, there was \$1 000 accrued from the previous period. At 30 June 2005, accrued wages were \$2 000. The wages expense for the accounting period is \$28 000.	
Accrual accounting involves bringing in all expenses and revenues paid within an accounting period.	
A deposit of \$40 000 was received on 28 June 2004 for a job which was to be done on 8 July 2004. This is accrued revenue.	
Advertising paid during the period was \$16 000. This included an amount of \$6 000 paid on 30 April 2005 for three months. The expense for the year is \$14 000.	
Prepaid revenues are classified as current liabilities on the statement of financial performance.	
Funds were placed on term deposit on 31 July 2004, with the interest of \$900 to be received on each of 31 January 2005 and 31 July 2005. The interest revenue for the accounting period is \$1800.	
Accrued expenses are classified as current liabilities on the statement of financial position.	

7 PROFITABILITY – RTA

Terms you should know

RTA – common abbreviation for 'return on total assets'

Asset turnover – the relationship between the sales of the business and the assets that were used while the sales were made. Measures the sales per \$ of assets employed.

Net profit ratio – relationship between the sales and the net profit. Measures the amount of each \$ of sales which is retained as net profit

Return on total assets – measures the relationship between net profit and the assets that were used to earn it. Measures the amount of net profit per \$ of assets employed

FORMULAS

$$\text{Return on total assets} = \frac{\text{Net profit plus interest}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Average total assets}} \times \frac{100}{1}$$

$$\text{or} \quad = \text{Net profit ratio} \times \text{Asset turnover} \times \frac{100}{1}$$

$$\text{or} \quad = \frac{\text{Net profit plus interest}}{\text{Av Total Assets}} \times \frac{100}{1}$$

1 What do you understand is the difference between profit and profitability?

2 Explain what the return on total assets is measuring.

3 Explain why interest is added back to the profit in the calculation of the return on total assets.

4a Use the information below to calculate the return on total assets for Years 1 and 2.

	Year 0	Year 1	Year 2
Sales revenue		150 000	160 000
Total expenses (incl interest)		110 000	115 000
Interest expense		12 000	10 000
Current assets	35 000	45 000	40 000
Non current assets	110 000	116 000	110 000

Working space

Answer

Year 1

Year 2

--	--

- 4b** Explain, giving reasons, whether the changes in the use of sales revenue or the assets caused the change in the return on total assets.

- 5** List 4 problems that limit the usefulness of using return on total assets as a measure of profitability.

a

b

c

d

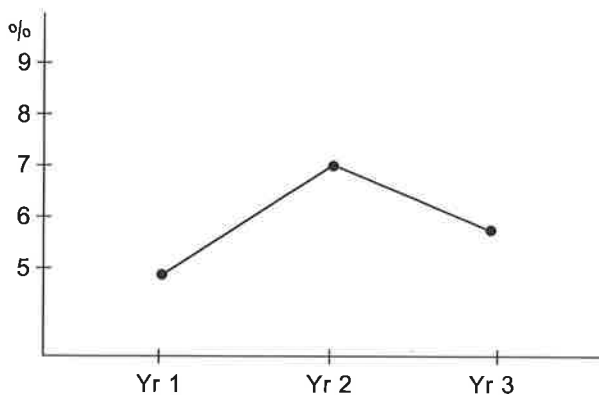
- 6** List 3 benchmarks for assessing whether or not the RTA is satisfactory.

a

b

c

- 7** Comment on the trend shown in the graph below of the return on total assets over the three year period and give possible reasons for the changes.



- 8** Read the following statements and decide if they are True or False.

1	Return on total assets measures the sales that are generated by each \$ of assets employed	
2	Businesses with high mark-up generally achieve increases in return on total assets through a higher net profit ratio	
3	Decreases in current assets can result in increases in return on total assets	
4	Increases in cost of goods sold will increase the return on total assets	
5	Supermarkets with low mark-ups will generally depend on increases in asset turnover to increase their return on total assets	

8 PROFITABILITY – ROI

Terms you should know

ROI – common abbreviation for 'return on owner's investment'

Opportunity cost – the cost of being involved in the business opportunity. The benefit foregone by choosing a particular alternative.

Return on owner's investment – measures the relationship between the net profit and the amount of owner's equity in the business

FORMULA

$$\text{Return on owner's investment} = \frac{\text{Net profit}}{\text{Average owner's Investment}} \times \frac{100}{1}$$

1 What is return on owner's investment measuring?

2 ✓ which of the following will result in an increase in return on owner's investment?

- increase in stock on hand
- increase in profit
- contribution of capital by the owner
- trading loss for period
- increase in total assets
- drawings of cash by the owner
- drawings of stock by the owner
- increase in liabilities
- decrease in cost of goods sold
- increase in debtors turnover

3 What do you understand by the term 'opportunity cost'?

4a Using the information below, calculate the return on owner's investment over the three-year period.

	Year 1	Year 2	Year 3
Profit	60 000	70 000	80 000
Total assets	150 000	160 000	170 000
Average owner's investment (Capital in Year 0 \$100 000)	?	?	?
Drawings	40 000	50 000	60 000

Return on owner's investment			
------------------------------	--	--	--

4b Comment on the trend of the ROI, giving reasons.

- 4c** Recalculate the return on owner's investment taking into account opportunity cost. The owner could earn a salary of \$35 000 if he were employed in a similar business. The current bank interest rate is 5%.

	Year 1	Year 2	Year 3
Return on owner's investment (after opportunity cost)			

- 5** Give 4 reasons why a sole proprietor may decide to stay in business even though the return on owner's investment is not satisfactory.

a

b

c

d

- 6a** For the two businesses below, calculate the return on owner's investment.

	Business A	Business B
Profit	60 000	70 000
Average owner's investment	150 000	180 000
Possible salary	40 000	40 000
Interest at 5%	?	?

Return on owner's investment		
Return on owner's investment (after opportunity cost)		

- 6b** Which business gives the best return to the owner?

- 6c** If these two businesses were for sale, which one would you buy? Explain.

- 7a** Using the information below, calculate the return on owner's investment.

Total assets	200 000	ROI
Owner's Investment	150 000	
Profit	60 000	

- 7b** The business purchases a new item of equipment for \$100 000 which is used to generate a further \$20 000 in profit. Calculate the return on owner's investment if the owner purchased the asset with a contribution of capital.

Total assets	?	ROI
Owner's Investment	?	
Profit	?	

- 7c** Recalculate the return if the asset were purchased using borrowed funds.

Total assets	?	ROI
Owner's Investment	?	
Profit	?	

- 7d** What is the explanation for the difference?

9 PROFITABILITY – GPR

Terms you should know

GPR – common abbreviation for ‘Gross profit ratio’

Gross profit ratio – the relationship between the sales and the gross profit. Measures the amount of each \$ of sales that is retained as gross profit.

Horizontal analysis – compares accounting information across accounting periods – eg sales in year 1 with years 2 and 3

Vertical analysis – compares items on the same accounting report – eg expenses as a proportion of sales

FORMULAS

$$\text{Gross profit Ratio} = \frac{\text{Gross profit}}{\text{Sales Revenue}} \times \frac{100}{1}$$

$$\text{Sales revenue} = \text{No. of items sold} \times \text{Price per item}$$

1 What is the gross profit ratio measuring?

2 What do you understand by the term ‘horizontal analysis’?

3 What do you understand by the term ‘vertical analysis’?

4a Calculate the gross profit ratio for Company A and Company B.

Company data	Year 1	Year 2	% change Yr 1 – Yr 2
A Sales revenue	500 000	550 000	?
Cost of goods sold	300 000	315 000	?
Gross profit	?	?	?
Gross profit ratio	?	?	?
B Sales revenue	600 000	650 000	?
Cost of goods sold	380 000	420 000	?
Gross profit	?	?	?
Gross profit ratio	?	?	?

4b The change in the GPR of Company A occurred because:

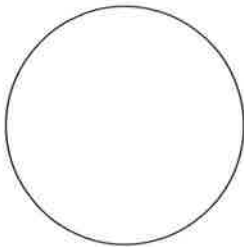
The change in the GPR of Company B occurred because:

5 Sales revenue for a business increased from \$800 000 to \$1 000 000 from 2004 to 2005. Cost of goods sold increased from \$500 000 to \$600 000 over the same period. There were no changes in the cost price during the period. Explain how the increase in sales revenue was achieved.

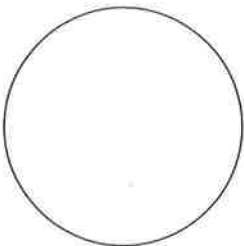
- 6a** Prepare a pie chart for each business to show how the sales revenue has been split between cost of goods sold and gross profit.

	Business A	Business B	Business C
Sales revenue	250 000	360 000	600 000
Cost of Goods Sold	100 000	180 000	400 000
Gross profit	?	?	?

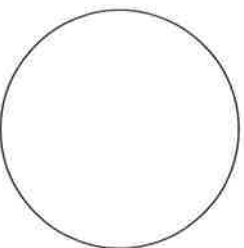
Business A



Business B



Business C



- 6b** Which business has the greatest gross profit?

- 6c** Which business has the best return on sales?

- 7** Explain, giving an example, how an increase in price can lead to a decrease in sales revenue.

- 8** Explain 2 factors that make it meaningless to compare gross profit ratios between all businesses.

a

b

- 9** The gross profit ratio for a business has risen from 25% to 30%. Comment on each of the following statements as an explanation for the trend.

- a The owner has found a cheaper supplier for his stock

- b The business has changed the product mix and is concentrating more on products with lower mark-up

- c The selling price has been reduced during the year to increase the gross profit

- d The owner passed on increases in cost prices to his customers

- 10** Read the following statements and decide if they are True or False.

The gross profit ratio is the difference between sales revenue and cost of goods sold	
The gross profit ratio should always be higher than the Net profit ratio	
Decreases in selling price will always give decreases in the sales revenue	
Increases in cost price will reduce the gross profit ratio unless the selling price is increased at the same rate.	
The gross profit ratio will be the same for all industry groups	
Horizontal analysis shows whether the changes in the gross profit ratio have come from changes in sales revenue or cost of goods sold.	

10 PROFITABILITY – NPR

Terms you should know

NPR – common abbreviation for 'net profit ratio'

Expense/Sales ratio – calculation of each expense (or groups of expenses) as a proportion of sales

Gearing – the proportion of assets that have been financed by external entities

Gross profit ratio – the relationship between the sales and the gross profit. Measures the amount of each \$ of sales that is retained as gross profit.

Net profit ratio – relationship between the sales and the net profit. Measures the amount of each \$ of sales that is retained as net profit

Return on total assets – measures the relationship between net profit and the assets that were used to earn it. Measures the amount of net profit per \$ of assets employed.

FORMULA

$$\text{Net profit ratio} = \frac{\text{Net profit}}{\text{Sales}} \times \frac{100}{1}$$

1 What is the net profit ratio measuring?

2 In the example below, explain why the net profit ratio has decreased while net profit has stayed the same.

	Year 1	Year 2
Sales	460 000	520 000
Cost of goods sold	320 000	390 000
Net profit	60 000	60 000
Net profit Ratio	13%	11%

3 Which of the following will result in an increase in the Net profit Ratio?

- Increased selling price with decreased numbers sold
- Decreased selling price with increased numbers sold
- Decreases in cost price
- Greater expense control
- Increase in cost of goods sold 10% and increases in sales revenue 9%
- Change to product lines with lower mark-up
- Greater control of stock losses

4 The net profit ratio has increased from 10% to 12%. Is this satisfactory? Give 3 reasons for your answer.

a

b

c

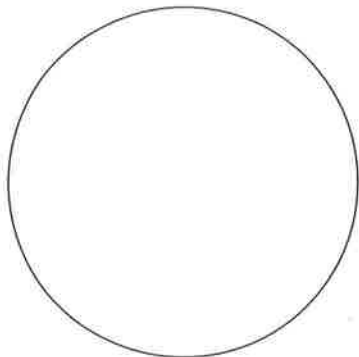
- 5a** Using the information below, calculate the net profit ratio for the 3 year period.

	Year 1	Year 2	Year 3
Sales	300 000	325 000	375 000
Cost of goods sold	150 000	175 000	160 000
Total Expenses	80 000	90 000	100 000
Net profit Ratio	?	?	?

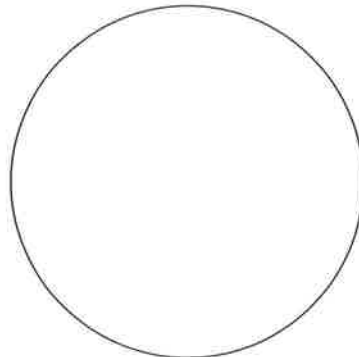
- 5b** Discuss the trend over the 3 year period and give possible reasons for the changes from year 1 to 2 and from years 2 to 3.

- 6a** Use the information below to draw a pie chart for each of the businesses showing cost of goods sold, expenses and net profit.

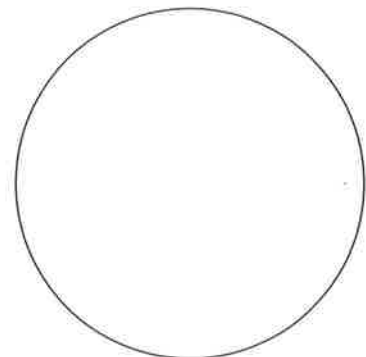
	Business A	Business B	Business C
Sales	400 000	550 000	600 000
Gross profit	150 000	190 000	220 000
Total expenses	75 000	130 000	120 000



Business A



Business B



Business C

- 6b** Which business spends more on cost of goods sold? _____
- 6c** Which business spends a greater proportion of sales revenue on cost of goods sold? _____
- 6d** Which business retains more of each dollar of revenue as net profit? _____
- 7** Read the statements below and decide if they are True or False

When a business makes a profit it is a profitable business	
Greater control of expenses can bring increases in net profit ratio	
Cost of goods sold less expenses equals net profit	
The use of different classification of expenses in accounting periods can give a misleading impression of the causes of changes in net profit ratio.	
Changes in gross profit ratio result in the same changes in net profit ratio	
If the gross profit ratio decreases it is not possible to increase the net profit ratio.	

- 8** Complete the following sentences.

When calculating net profit ratio, the _____ is compared to _____. This is indicating to the owner how much of every \$ of _____ is retained as _____.

The net profit ratio is affected by changes in _____, _____, and sales revenue.

If the rate of increase in expenses is greater than the rate of increase in sales, then the net profit ratio will _____.

A business is profitable if _____.

11 LIQUIDITY – CASH FLOW and COLLECTIONS

Terms you should know

Bad debts – amounts that will not be received from credit customers

Cash flow – cash coming into the business less the cash going out of the business

Credit checks – checking of the financial viability of a prospective customer before extending credit to them

Debtors collections – the total of the amount collected (received) from debtors in the period

Discount allowed expense – an inducement to a debtor to get them to pay their account quickly. It is a reduction in the total owing.

Factoring – selling of debts (amounts owed by customers) to a finance company to obtain cash from the debts immediately

Terms of trade – the terms on which the credit customer has purchased the goods – for example, 2% discount if paid in 10 days, net amount due in 30 days

1 What do you understand by 'terms of trade'?

2 Why could it be good for the business to extend the terms of trade? What are the disadvantages of extending the terms of trade?

3 What are the costs of extending credit to customers?

4 Is it better to offer credit card facilities to customers or to have 'in-house' credit?

5 Why would a business offer discount to customers?

6 Under what circumstances could offering discount be bad for the business?

7 Calculate the missing amounts

A	Debtors at the beginning	\$60 000
	Credit sales	430 000
	Debtors at the end	55 000
	Collections from debtors	?

B	Debtors at the beginning	\$130 000
	Collections from debtors	890 000
	Debtors at the end	140 000
	Credit sales	?

C	Debtors at the beginning	\$90 000
	Credit sales	670 000
	Bad debts	2 500
	Discount allowed	1 370
	Debtors at the end	87 000
	Collections from debtors	?

D	Debtors at the beginning	\$110 000
	Credit sales	750 000
	Sales returns	30 000
	Bad debts	3 600
	Discount allowed	2 800
	Debtors at the end	120 000
	Collections from debtors	?

8 Explain the purpose of credit reference agencies.

9 An increase in debtors will result in an increase in the working capital ratio. Why is this not always good for the business?

11 Liquidity – cash flow and collections (cont)

10 Calculate the amount of cash collected and the amount of the bad debt in each of the statements below.

C Norman owes the business \$1 300 and has been declared bankrupt. The letter received from Norman's solicitor states that the creditors will not receive any payout.	Cash collected Bad debt
P Buckingham has been declared bankrupt owing the business \$6 000. The letter from the solicitor informs the business that it will receive 34c in every \$ owing.	Cash collected Bad debt
N Smithers owed \$4 500. The owner of the business has heard on the grapevine that Smithers has left town and cannot be contacted.	Cash collected Bad debt

11a What do you understand by the term 'factoring' of debts?

11b Give one advantage and one disadvantage for a business of factoring debts.

12 Unscramble the following.

CRNOFTIAG _____
 NIOTDCUS DOLEWLA _____
 RESTM FO REDTA _____
 DTRCIE ECCSKH _____
 ABD TBDSE _____
 KTAUBRNP _____
 TEICDR LAESS _____

12 BUDGETING

Terms you should know

Budgeting – planning. The preparation of forecast statements for the business.

1 Why should a business prepare budgets?

2 List 5 types of budget that a business could prepare.

3 What is the ideal length of period for a budget? Is it the same for all budgets and all businesses?

4 List 3 sources of information that should be used as the basis for the preparation of budgets.

a

b

c

5 Which is the budget that should be prepared first? Why?

6 From the information below, prepare a sales budget for the next accounting period.

Product	Current period		Forecast
	No. sold	Unit price	
A	5000	\$20	Growth in market 8%, price to increase \$1
B	6000	\$15	Market shrink 2%, no price change
C	2000	\$10	Inflation 3% (price to increase in line with inflation). Market share to remain constant

Product	Sales Budget for next accounting period		
	No. to be sold	Unit price	Total Revenue
A			
B			
C			

7 What use should be made of the budget once it has been prepared?

8 Calculate the cash that will be received in each of the 3 months of the budgeted period (April, May and June). Experience has shown that 60% of debtors will pay in the month following sale, 30% in the second month after sale, and 10% in the third month after sale.

Credit sales – January \$20 000,
February \$24 000, March \$25 000

Expected credit sales – April \$22 000, May \$26 000, June \$28 000

	Credit sales	Amount to be received in April	Amount to be received in May	Amount to be received in June
Jan				
Feb				
Mar				
April				
May				
June				
Total				

- 9** From the information below, prepare a cash budget and profit budget for the year ended 30 June 2005 for Towell Enterprises.

Balances at 1 July 2004

Cash on hand \$2 800
 Debtors \$63 000
 Stock on hand \$25 000
 Creditors \$36 000
 Advertising prepaid \$1 200
 Wages accrued \$4 000

Expected during 2004–2005:

Cash sales \$28 000
 Credit sales \$134 000
 Payments to creditors \$89 000
 Advertising to be paid \$22 000
 General cash expenses to be paid \$71 000 (incl wages)
 Drawings of cash \$40 000

Expected balances at 30 June 2005:

Debtors \$65 000
 Prepaid advertising \$2 500
 Creditors \$14 000
 Stock on hand \$29 000
 Accrued wages \$3 000

Towell Enterprises		
Budgeted statements of cash and profit for year ended 30 June 2005		
	Cash budget	Profit budget
Cash sales		
Credit sales		
Collections from debtors		
Cost of goods sold		
Payments to creditors		
Gross profit		
Advertising		
General cash expenses		
Drawings		
Net profit		
Cash balance at 1 July 2004		
Cash balance at 30 June 2005		

- 10** List 4 factors that could account for the differences between the expected profit and cash balance at 30 June 2005.

a _____

b _____

c _____

d _____

13 BUDGETING, VARIANCES

Terms you should know

Budgets

Variances

Favourable variances

Unfavourable variances

1 Explain what is meant by the term 'variances'.

2 What is a 'favourable variance'?

3 What is an 'unfavourable variance'?

4a Fill in the blanks in the budgets below.

Peanut Producers				
Budgeted Statements at 30 June 2005				
Profit and Loss Budget	Actual	Budget	Variance	F/UF
Sales	840 000	860 000	?	?
Cost of goods sold	?	?	?	?
Gross profit	336 000	?	20 000	UF
Expenses	?	220 000	16 000	F
Net profit	?	?	?	?
Cash Budget				
Cash sales	25 000	?	3 000	F
Collections from debtors	700 000	730 000	?	?
Loan from bank	100 000	100 000	?	?
Capital contribution	50 000	60 000	?	?
Payments to creditors	?	220 000	35 000	U
Expenses	410 000	?	10 000	F
Purchase of equipment	?	175 000	25 000	UF
Drawings	47 000	?	12 000	UF
Balance at 1 July 2004	11 400	11 400	?	
Balance at 30 June 2005	?	?	?	

4b Give four reasons why the actual profit is different from the budgeted profit.

a

b

c

d

4c Give 6 reasons why the actual cash balance is different from the budgeted balance.

a

b

c

d

e

f

4d List and explain 7 steps that should be taken based on the above variances. Explain the effect of each step.

a

b

c

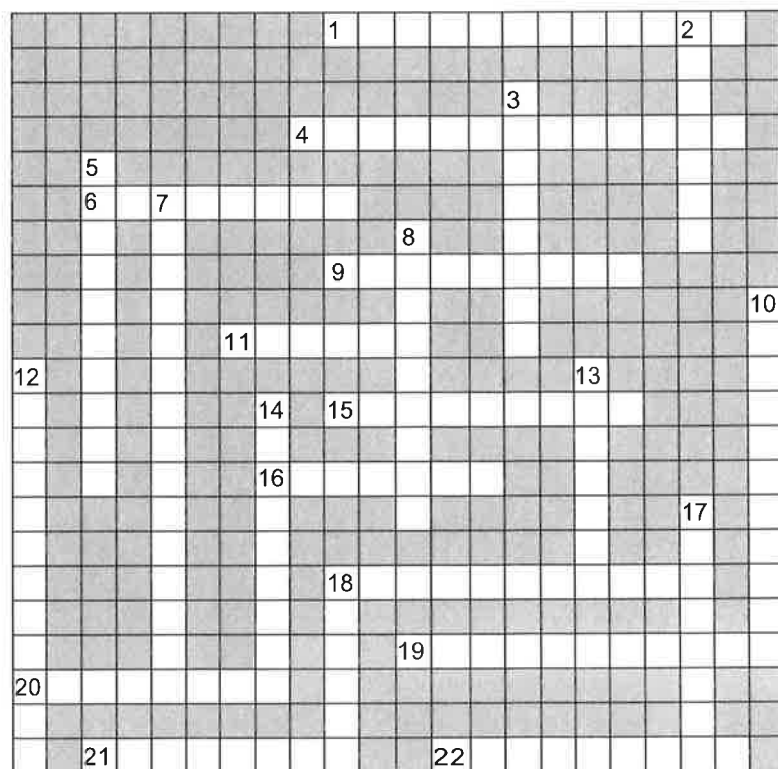
d

e

f

g

5 Crossword



Across

1. Conditions of credit supply 5, 2, 5
4. Adequacy of profit 13
6. Incurred before paid 8
9. Ability to pay debts in long term 9
11. Financial plan 6
15. Differences from budget 9
16. Cost of earning revenue 7
18. Paid before incurred 11
19. Debtors payments 11
20. Amounts which are uncollectable 3, 5
21. Unable to pay debts 8
22. Ability to pay debts in short term 9

Down

2. Credit customers 7
3. Movements of cash 4, 4
5. Actual payments less than budget 10
7. Agency which checks up on potential customer 6, 9
8. Selling of debts to get ready cash 9
10. Buy now, pay later 6, 5
12. Budget receipts greater than actual 12
13. Increases in assets from trading 7
14. Suppliers on credit 9
17. Inducement to pay early 8
18. Excess of revenue over expense 6

14 LIQUIDITY MEASURES

Terms you should know

Cash cycle – the time taken for cash outlaid by the business to return as cash to the business

Creditors turnover – the length of time the business is taking to pay creditors. Measured by dividing the total credit purchases by the average creditors.

Debtors turnover – the length of time that the debtors are taking to pay. Measured by dividing total credit sales by the average debtors

Quick asset ratio – measures the relationship between the quick assets (those than can be turned into cash quickly) of a business and those current liabilities that must be paid in the very short term

Stock turnover – measures the length of time, on average, that the stock stays in the warehouse

Sufficient working capital ratio – the calculation of the working capital ratio taking into account the debtors, creditors and stock turnovers

Working capital ratio – measures the relationship between the current assets and current liabilities of the business

FORMULAS

$$\text{Working capital ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$\text{Quick asset ratio} = \frac{\text{Current assets} - \text{Stock and prepayments}}{\text{Current liabilities} - \text{Bank overdraft}}$$

$$\text{Case cycle} = \text{Debtors turnover (in days)} + \text{Stock turnover (in days)}$$

$$\text{Sufficient WCR} = \frac{\text{Debtors turnover (in days)} + \text{Stock turnover (in days)}}{\text{Creditors turnover (or Creditors credit terms)}}$$

- 1 What is the difference between working capital and working capital ratio?
- 2 What is the difference between the working capital ratio and quick asset ratio?
- 3 Why is the quick asset ratio more useful as a measure of liquidity for a trading business?
- 4 Why do some businesses leave the bank overdraft in the current liabilities when calculating the working capital ratio?
- 5 Why is the calculation of the cash cycle more useful than the WCR as an indicator of liquidity?
- 6a Using the information below for Holiday Enterprises calculate the working capital ratio and the quick asset ratio for 2005 and 2006.

	2005	2006	Ratios 2005	Ratios 2006
Bank	4 500	(9 600)	WCR	WCR
Debtors	63 000	70 000		
Stock	45 000	56 000		
Prepaid Expenses	1 400	1 800	QAR	QAR
Creditors	51 200	57 000		
Accrued Expenses	2 000	3 200		
Sundry Creditor	–	10 000		

- 6b Comment on the trend, giving reasons for the changes.

7a Calculate the cash cycle and the sufficient WCR for Holiday Enterprises.

	2005	2006	2005	2006
Debtors turnover	63 days	64 days	Cash Cycle	Cash Cycle
Stock turnover	70 days	65 days		
Creditors turnover	60 days	56 days	Sufficient WCR	Sufficient WCR
Creditors credit terms	30 days	30 days		

7b Comment on the trend of the cash cycle over the two years.

7c Comment on the trend of the sufficient WCR over the two years. According to this calculation, does Holiday Enterprises have enough working capital for their needs? Explain.

8 What are the problems of using both WCR and QAR as measures of liquidity?

9 WCR was 1.7 in Year 1 and is 1.9 in Year 2 for Gardens Galore. Comment on each of the following statements as a reason for the change.

A Current liabilities have increased faster than current assets.

B The owner has taken steps to decrease stock holdings.

C Debtors collections have slowed.

D The business has borrowed from the bank.

10 Current assets are \$45 000, current liabilities are \$56 000. Give 5 reasons why the business might not be unduly worried about its liquidity.

15 STABILITY

Terms you should know

Debt ratio (gearing) – measures the relationship between the assets of the business and the finance provided by external parties

Interest cover – the number of times that the profit can be divided by the interest expense

Proprietary ratio (equity ratio) – the relationship between the total assets of the business and the amount contributed by the owner

Return on owner's investment – measures the relationship between the net profit and the amount of owner's equity in the business

$$\text{Debt ratio (gearing)} = \frac{\text{Total liabilities}}{\text{Total assets}} \times \frac{100}{1}$$

$$\text{Proprietary ratio (equity ratio)} = \frac{\text{Owner's equity}}{\text{Total assets}} \times \frac{100}{1}$$

$$\text{Interest cover} = \frac{\text{Net profit before interest}}{\text{Interest expense}}$$

1 Explain what you understand by the term gearing (debt ratio).

2 Explain the risks of high levels of gearing.

3 Are there any benefits of high gearing?

4a Calculate the gearing for Planter's Products in 2006 and 2007.

	2006	2007
Current assets	32 000	35 000
Current liabilities	19 000	17 000
Non current assets	145 000	160 000
Non current liabilities	130 000	130 000
Gearing	?	?

4b How has this change been achieved?

4c Calculate the proprietary ratio for the two years.

	2006	2007
Proprietary ratio		

- 5** What are the problems and advantages of financing expansion by the owner?

- 6** Explain what the interest cover is telling us.

- 7a** Calculate the interest cover for the two businesses below.

	Business A	Business B
Net profit (after interest)	45 000	60 000
Interest	13 000	20 000
Interest cover	?	?

- 7b** Comment on the ability of the two businesses to cover their interest expense.

- 8a** Quality Upholstery are interested in buying new equipment (\$200 000) for their workshop. They have two alternatives for financing the purchase – borrow from the bank or the owner can contribute the required funds. Using the information in the next column, calculate the gearing, interest cover and return on owner's investment for each alternative.



- 9** 'High gearing is bad for a business'. Comment on this statement, linking the gearing to the Return on total assets.

Existing ratios		Gearing
Total assets	400 000	Interest cover
Total liabilities	200 000	
Net profit (after interest)	40 000	
Interest expense	5 000	ROI
Financing from borrowed funds		Gearing
Total assets	600 000	Interest cover
Total liabilities	400 000	
Net profit (after interest)	60 000	
Interest expense	10 000	ROI
Financing by the owner		Gearing
Total assets	600 000	Interest cover
Total liabilities	200 000	
Net profit (after interest)	60 000	
Interest expense	5 000	ROI

- 8b** Which is the better alternative for the business? Give reasons for your answer.

16 EFFICIENCY – DEBTORS TURNOVER

Terms you should know

Cash cycle – the time taken for cash outlaid by the business to return as cash to the business

Debtors turnover – the length of time that the debtors are taking to pay. Measured by dividing total credit sales by the average debtors

Discount allowed – an inducement to a debtor to get them to pay their account quickly.

Working capital ratio – measures the relationship between the current assets and current liabilities of the business

FORMULAS

$$\text{Debtors turnover} = \frac{\text{Credit sales}}{\text{Average debtors}} = \text{times per period then } \frac{365}{\text{times}} = \text{days}$$

or
$$\frac{\text{Average debtors} \times 365}{\text{Credit sales}} = \text{days per period}$$

1 What does the debtors turnover measure?

4 List some of the benefits of improving the debtors turnover.

2a Calculate the debtors turnover (in days) for the two years for Griffiths Spectacles.

	30 June 2005	30 June 2006	30 June 2007
Credit sales for year		1 000 000	1 050 000
Debtors	180 000	190 000	210 000
Debtors turnover		?	?

2b Is this an improvement? Why or why not?

2c Explain how this change has come about.

3 How can the debtors turnover be improved?

5 Is it always good for the debtors turnover to be improving?

6 How do you decide if the debtors turnover is satisfactory?

7 'Increasing the total debtors will improve the working capital ratio and this is good for the business.'

Is this statement necessarily true? Explain.

- 8** Debtor's turnover has decreased from 70 days to 67 days for Holiday Heaven. Comment on each of the statements below as a reason for the decrease.

Debtors must be decreasing	
The owner has offered discount for early payment	
Working capital ratio must be decreasing	
The cash cycle will be increasing	

- 9a** Calculate the debtors turnover for the three years for Sports Supreme.

	30 June 2005	30 June 2006	30 June 2007
Credit sales for year	400 000	600 000	700 000
Average Debtors	80 000	105 000	135 000
Debtors turnover	?	?	?

- 9b** Suggest reasons for the changes between 2005 and 2006, and between 2006 and 2007.

- 9c** What action should be taken by Sports Supreme to address the situation?

- 10** Match the terms in the left column to the definitions in the last column.

Debtors collections		A	The length of time debtors are taking to pay
Discount allowed		B	The relationship between the current assets and current liabilities
Bad debts		C	The time taken for cash outlaid by the business to return as cash to the business
Debtors turnover		D	An inducement to credit customers to get them to pay on time
Working capital ratio		E	Total of amounts received from credit customers in the period
Cash cycle		F	Amounts that will not be received from credit customers

17 EFFICIENCY – CREDITORS & ASSET TURNOVER

Terms you should know

Asset turnover – the relationship between the sales of the business and the assets that were used while the sales were made. Measures the sales per \$ of assets employed.

Creditors turnover – the length of time the business is taking to pay creditors. Measured by dividing the total credit purchases by the average creditors.

Discount received – offered by the creditor as an inducement to pay the account quickly

$$\begin{aligned} \text{Creditors turnover} &= \frac{\text{Credit purchases}}{\text{Average creditors}} = \text{times per period then } \frac{365}{\text{times}} = \text{days} \\ \text{or} \quad &= \frac{\text{Av Creditors} \times 365}{\text{Credit purchases}} = \text{days per period} \\ \text{Asset turnover} &= \frac{\text{Sales}}{\text{Av total assets}} = \text{times per period} \end{aligned}$$

1 What is the creditor's turnover measuring?

2a Calculate the creditor's turnover (in days) for the two years for Griffiths Spectacles.

	30 June 2005	30 June 2006	30 June 2007
Credit purchases for year		550 000	650 000
Creditors	90 000	100 000	110 000
Creditor's turnover		?	?

2b Is this an improvement? Why or why not?

2c Explain how this change has come about.

3 How can creditor's turnover be increased?

4 'It is always good for a business to improve its creditor's turnover.' Comment.

17 Efficiency – creditors & asset turnover (cont)

5a Using the following information for Glamorous Glasses, calculate the creditors turnover and the working capital ratio.

Bank	30 000	Creditor's turnover
Debtors	50 000	
Stock	60 000	Working capital ratio
Creditors	55 000	
Credit purchases	150 000	

5b Examine the effect of taking \$10 000 out of the bank and paying it off the creditor balance.

Creditor's turnover	Working capital ratio
---------------------	-----------------------

5c Explain how the change was achieved.

6 What is the asset turnover measuring?

7a Calculate the asset turnover for Harry's Hardware.

	30 June 2005	30 June 2006	30 June 2007
Total sales		880 000	900 000
Total assets	500 000	550 000	600 000
Asset turnover			
		?	?

7b Is the asset turnover improving? Why or why not?

7c How can the asset turnover be improved?

8 Explain the link between the asset turnover and the return on total assets.

9 Read each of the statements below and decide if it is True or False.

Creditors have increased from \$55 000 to \$60 000. This means that the cash cycle is getting shorter.	
Supermarkets with very low gross profit margins usually rely on higher asset turnover to improve profits	
Deciding to delay payments to creditors can have no detrimental effects on the business	
If the business has a bank overdraft, working capital ratio will decrease as payments are made to creditors	
Paying creditors on time to take advantage of discount offered by the supplier is always good practice.	
Asset turnover will improve if under-used assets are sold	
Asset turnover will improve if new assets are purchased	
Improving the asset turnover will improve the return on total assets	
Improving the asset turnover will improve the net profit	

18 EFFICIENCY – STOCK TURNOVER

Terms you should know

Stock turnover – measures the length of time, on average that the stock stays in the warehouse

Stock take – counting of stock on hand in a business for the purpose of calculating an accurate gross profit

Stock gains and losses – variations in the comparison of stock take totals against the stock records of the business

$$\text{Stock turnover} = \frac{\text{Cost of goods sold}}{\text{Average stock}} = \text{times per period then } \frac{365}{\text{times}} = \text{days}$$

$$\text{or} \quad = \frac{\text{Average stock} \times 365}{\text{Cost of goods sold}} = \text{days per period}$$

1 What is the stock turnover measuring?

2b Is this an improvement? Why or why not?

2a Calculate the stock turnover (in days) for Wally's Wines for the two years.

	30 June 2005	30 June 2006	30 June 2007
Cost of goods sold		570 000	650 000
Stock	76 000	82 000	80 000
Stock turnover		?	?



2c Explain how this change has come about.

3 'It is always good business to improve the stock turnover.' Do you agree? Why or why not?

4 'Stock turnover has increased from 78 days to 82 days.' Read each of the statements below and comment on each as a factor that could cause the change.

The owner has been allowing a build up of unsaleable stock	
Stock losses have been increasing	
Purchases of stock have been increasing	
Sales (and cost of goods sold) have increased	
The business has changed the type of stock sold to include higher value items	

5 'Stock turnover should be the same for all businesses.' Comment.

6 List 3 problems of holding too little stock.

a

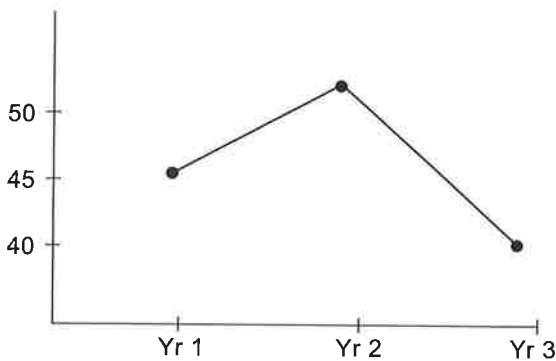
b

c

7 What are the costs of holding stock?

8 Explain the purpose of carrying out a stock take.

9a What possible factors could have caused the trend in the following graph? (Examine the periods between years 1–2 then years 2–3.)



9b What actions should the owner take to change the trend?



19 LIMITATIONS to RATIO ANALYSIS and KPIs

Terms you should know

Key performance indicators – KPIs – indicators used by the management of the business to assess the success of the trading operations. Non-ratio indicators.

The use of ratio analysis as a measure of the performance of a business is limited because of several factors:

- use of year-end data (does it reflect the whole year's performance?)
- data on financial reports is historical data (does it include future plans?)
- differences in accounting methods and processes used
- the age of the business (new businesses need time to get established)
- the availability of data not included in financial reports (are all debts collectable, is all stock saleable?)
- lack of financial skills of management (is the available information reliable?)

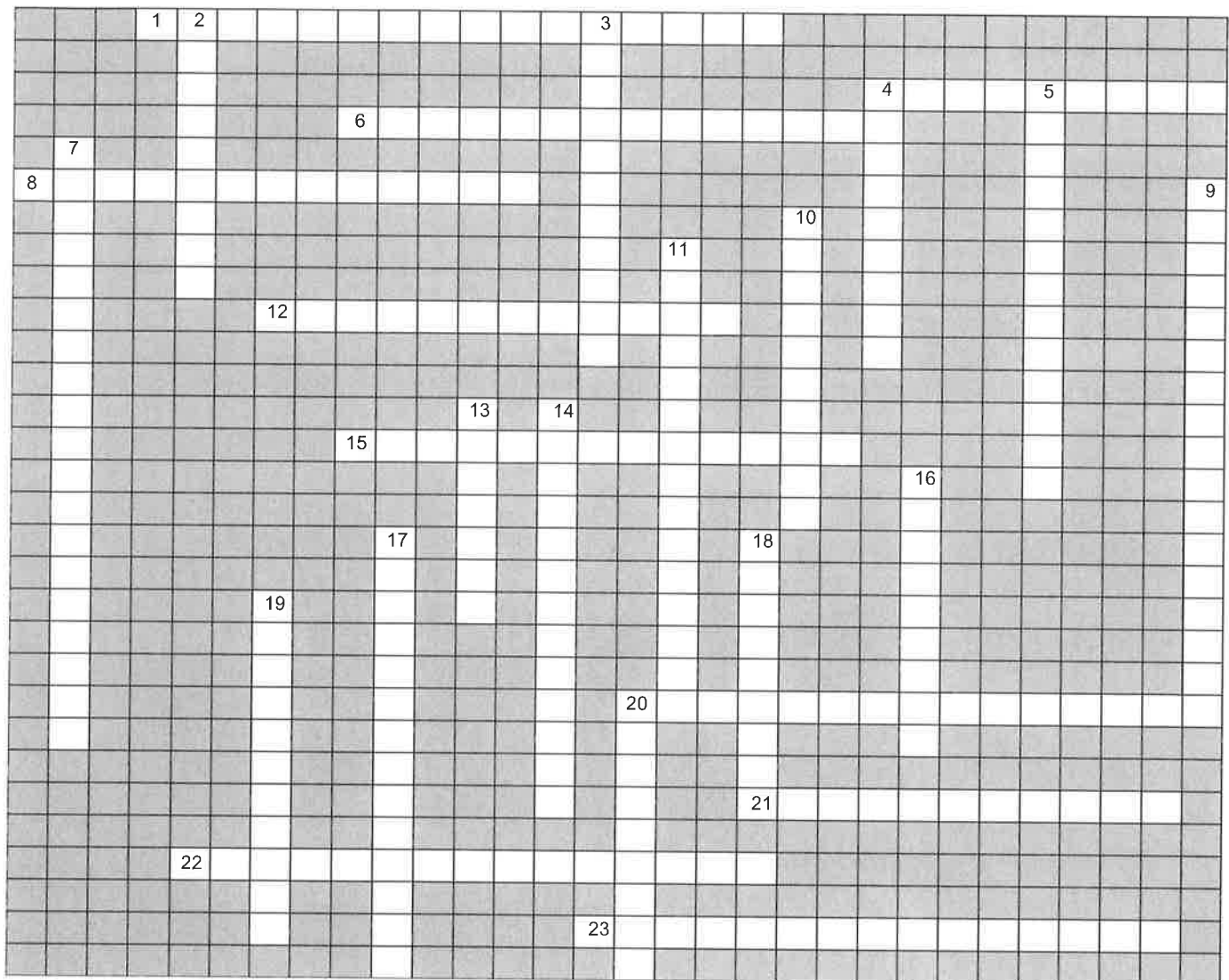
Key Performance Indicators (KPIs) often give a better indication of the performance of the business. These include factors that are not included in the financial reports:

- indicators of the quality of the product the number of sales returns as a percentage of sales
- indicators of the performance of staff sales \$ per staff member staff turnover
- number of complaints regarding the quality of the product percentage of repeat business
- complaints about the level of service
- percentage of new clients compared with old clients product wastage
- indicators of the share of the market position held in the current market level of innovation in the product range sales growth compared with inflation

1 'Ratio analysis is not entirely reliable as a way of assessing a business.'

Comment on this statement, explaining why you may agree with it, and including what other information you may think is necessary before a comprehensive assessment can be made.

2

**Across**

1. Relationship between sales and gross profit 5, 6, 5
4. The ability of the business to pay all of its debts 9
6. Valuation of assets at the price paid for them 10, 4
8. The ability to compare accounting information from one period to another 13
12. Principle which states that income is included when earned and expenses included when they appear likely 12.
15. The \$ of sales generated by each \$ of assets employed 5, 8
20. The average time debtors take to pay 7, 8
21. Proportion of total assets financed by the owner 6, 5
22. Relationship between debts which must be paid quickly and the assets available to turn into cash quickly 5, 5, 5
23. An inducement for customers to pay the amounts owing 8, 7

Down

2. Accounting information which is likely to influence decisions made by users 9
3. Accounting information presented without bias or error 11
4. Stock in warehouse less than stock on records 5, 4
5. The number of times which the profit is greater than the interest expense 8, 5
7. Relationship between current assets and current liabilities 7, 7, 5
9. The average length of time taken to pay creditors 9, 8
10. Presentation of accounting information in time from which allows effective decisions to be made 10
11. An inducement offered by the supplier to get the bill paid on time 8, 8
13. Relationship between total assets and total liabilities 7
14. The average time stock stays in the warehouse 5, 8
16. Ability of the business to pay its short term debts 9
17. Relationship between sales and net profit 3, 6, 5
18. Counting of stock 9
19. Presentation of accounting information without omissions or misstatements which could affect the decisions made 11
20. Proportion of total assets financed by external sources 4, 5

GLOSSARY

Accounting equation – expresses the relationship between the amounts owned by the business and the amounts owed by the business. Usually expressed as $A = L + OE$ (owner's equity) or $A = L + P$ (proprietorship)

Accounting period – principle – the length of time for which accounting reports are prepared. This cannot be longer than one year.

Accrual accounting – an accounting method where revenue is recorded and reported when earned (not necessarily received) and expenses are recorded and reported when incurred (not necessarily paid).

Accrued expenses – expenses that have been incurred but are not yet paid. Classified as a current liability

Accrued revenue – revenues that have been earned, but not yet received. Classified as a current asset.

Asset turnover – the relationship between the sales of the business and the assets that were used while the sales were made. Measures the sales per \$ of assets employed.

Assets – items of financial value owned or controlled by the business, which will assist it in earning revenue in the future.

Bad debt – an amount that will not be received from a credit customer.

Balance sheet – Statement of financial position – a statement showing the assets, liabilities and owner's equity of a business on a particular date.

Bank deposit form – document used to record deposits at the bank

Bank overdraft – the withdrawals from the bank account greater than the deposits into the account

Budgeting – planning. The preparation of forecast statements for the business

Capital – the initial investment by the owner into the business

Cash cycle – the time taken for cash outlaid by the business to return as cash to the business

Cash flow – cash coming into the business less the cash going out of the business

Cash register roll – the record of all cash received and placed in the till

Cheque – an order from the owner of the account (the payer) to the bank (drawer) to pay to the entity named (the payee) the amount specified. Used to make most cash payments for a business.

Comparability – qualitative characteristic – ability to compare accounting information from one accounting period to another

Concepts – see qualitative characteristics.

Conservatism – accounting principle – income should

not be included until earned but expenses should be included as soon as they become liable. Profits should not be overstated.

Credit checks – checking of the financial viability of a prospective customer before extending credit to them

Credit note – document used to record the return of goods

Creditors turnover – the length of time the business is taking to pay creditors. Measured by dividing the total credit purchases by the average creditors.

Current assets – assets that are expected to be of benefit to the business in the short term (less than 12 months)

Current liabilities – liabilities that must be paid within 12 months

Debt ratio – measures the relationship between the assets of the business and the finance provided by external parties.

Debtors collections – the total of the amount collected (received) from debtors in the period.

Debtors turnover – the length of time that the debtors are taking to pay. Measured by dividing total credit sales by the average debtors.

Discount allowed/expense – an inducement to a debtor to get them to pay their account quickly. It is a reduction in the total owing.

Documents – evidence of transactions

Entity assumption – the affairs of the business and the affairs of the owner must be kept separate

Equity ratio – measures the relationship between the assets of the business and the amount contributed by the owner.

Expense – cost incurred while earning revenue

Factoring – selling of debts (amounts owed by customers) to a finance company to obtain cash from the debts immediately

Gearing – the proportion of assets that have been financed by external entities.

Going concern – accounting principle – the business has a future life and will not cease in the foreseeable future.

Gross profit ratio – the relationship between the sales and the gross profit. Measure the amount of each \$ of sales that is retained as gross profit.

Historical cost – accounting principle – recording of assets at the price paid for them

Income – revenue earned from the business activities of the business

Interest cover – the number of times that the profit can be divided by the interest expense.

Invoice – document used to record credit purchases or sales.

Key performance indicators – KPIs – indicators used by the management of the business to assess the success of the trading operations. Non-ratio indicators.

Liabilities – amounts owed to an external entity

Liquidity – the ability of the business to pay its short-term debts from its short-term resources

Loss – excess of expenses over revenues. Decreases owner's equity.

Materiality – qualitative characteristic – accounting information includes all information whose omission or misstatement would affect the decisions of users.

Mortgage – a loan secured on property (usually having been bought with the funds from the mortgage)

Net profit ratio – relationship between the sales and the net profit. Measures the amount of each \$ of sales that is retained as net profit.

Net worth – assets minus liabilities

Non current assets – assets that will be of benefit to the business in the long term

Non current liabilities – amounts that will have to be paid in a period longer than 12 months

Opportunity cost – the cost of being involved in the business opportunity. The benefit foregone by choosing a particular alternative.

Owner's equity – the amount the business owes to the owner, and is equal to assets minus liabilities. Also known as Proprietorship or Net Worth.

Prepaid expenses – expenses that have been paid, but not yet incurred. Classified as a current asset.

Prepaid revenue – revenue that has been received, but not yet earned. Classified as a current liability.

Principles – guidelines, which assist in the accounting system and reports to ensure that they are consistent across time and consistent with other businesses.

Profit – excess of revenue over expenses.

Profit and loss statement – statement of financial performance – a statement that lists all revenues and expenses and shows the result of the trading activities of a business for an accounting period. It is a summary statement.

Profitability – measurement of the adequacy of the profit received. It measures the effectiveness of the business in using the resources available to it.

Proprietor – owner of the business

Proprietorship – Owner's equity, the amount that is owed to the owner by the business. It is a residual of assets minus liabilities.

Proprietary ratio – the relationship between the total

assets of the business and the amount contributed by the owner.

Qualitative characteristics – guidelines for the preparation of accounting records and reports so that they represent the affairs of the business in a true and fair manner.

Quick asset ratio – measures the relationship between the quick assets (those that can be turned into cash quickly) of a business and those current liabilities that must be paid in the very short term.

Receipt – document used to record the cash received into a business.

Relevance – qualitative characteristic – inclusion of information that will influence the decisions of the users.

Reliability – qualitative characteristic – accounting information must represent the affairs of the business without bias or misstatement.

Return on assets – measures the relationship between net profit and the assets that were used to earn it. Measures the amount of net profit per \$ of assets employed.

Return on owner's investment – measures the relationship between the net profit and the amount of owner's equity in the business.

Stability – the ability of the business to pay its debts in the long term.

Statement of financial performance – profit and loss statement – a statement that includes all of the revenues and expenses of the business in the accounting period and is used to report on the profit or loss.

Statement of financial position – balance sheet – a statement that includes all assets and liabilities of the business and shows the owner's equity.

Stock loss – the stock in the warehouse is less than the stock shown in the records.

Stock turnover – measures the length of time, on average, that the stock stays in the warehouse.

Terms of trade – the terms on which the credit customer has purchased the goods – for example, 2% discount if paid in 10 days, net amount due in 30 days.

Timeliness – qualitative characteristic – reports must be prepared in sufficient time to form the basis of effective decisions.

Transaction – economic or financial event in the life of a business

Two-fold effect of transactions – every transaction has two effects on the affairs of a business.

Variance – difference between the actual amounts and the budgeted amounts on the accounting reports.

Working capital ratio – measures the relationship between the current assets and current liabilities of the business.

SELECTED ANSWERS

1 INTRODUCTION TO ACCOUNTING

- 1 \$10 160
 2 \$89 620
 3 \$13 000, \$86 000, \$70 000, \$32 000
 4 Similarity – both are amounts owed by the business
 difference – liabilities are owed to external parties,
 owner's equity is owed to the owner

5

Motor vehicle	20 000	A
Bank overdraft	5 700	L
Terms deposit at bank	10 000	A
Loan from parents	30 000	*
Mortgage on premises	100 000	L
Premises	140 000	A
Owner's equity		46 300

*Depends on purpose of loan from parents

- 6 $A + OE = L$, $A + L = OE$, $OE = A + L$
 7a \$136 000, \$144 000
 7b increase
 7c 6 months
 7d increase in the bank account. The owner must have
 contributed cash or the business has been trading at a profit
 (from cash sales)
 8a \$110 505, \$109 200
 8b increase equipment, decrease bank
 8c increase in bank overdraft, decrease in mortgage,
 increase in loan
 8d decreased
 9 True, false, false, true, true, false
 10a \$16 500, \$65 000, \$50 000
 10b external parties – liabilities are \$90 000, owner's equity
 is \$50 000

2 CLASSIFICATION OF ASSETS AND LIABILITIES

1

	\$	Current assets	Non current assets
Bank account	3 250	3 250	
Office furniture	8 900		8 900
Computer	6 500		6 500
Protective clothing	250	250	
Computer disks	320	320	
Computer software programs	1 000		1 000
Total value		4 720	16 400

- 2 assumed to be of benefit and help earn income for a
 period longer than 12 months

3

	\$	Current liabilities	Non current liabilities
Mortgage on office building	200 000		200 000
Loan on computers – due in 6 months	8 000	8 000	
Bank overdraft	4 950	4 950	
Loan on motor vehicle – due in 4 years	30 000		30 000
Total value		12 950	230 000

4

- Owner's equity, D; Current assets, F
 Non current assets, G; Current liabilities, C
 Non current liabilities, B; Proprietor, A;
 Accounting equation, E

- 5 Current assets, short term, non current liabilities,
 owner's equity, accounting equation, liabilities, assets, residual

6

Current assets		
Stock of stationery	550	
Protective clothing	1 200	1 750
Current Liabilities		
Bank overdraft	2 780	
Non current assets		
Motor vehicle	3 500	
Office equipment	14 000	
Premises	150 000	199 000
Non current liabilities		
Mortgage	100 000	
Loan – motor vehicle	20 000	120 000
Owner's equity		77 970

- 7 False, true, false, true, false

- 8a \$27 000, \$57 600

- 8b Combination of bank overdraft, loan and capital
 contribution

3 QUALITATIVE CHARACTERISTICS/PRINCIPLES

- 1 a: Entity, b: accounting period and/or relevance, c:
 reliability, d: monetary principle, e: materiality, f: historical cost
 2 a: historical cost and/or comparability, b: conservatism
 and/or accounting period, c: reliability and/or conservatism,
 d: understandability, e: accounting period, f: comparability
 5 a: monetary principle, b: reliability and relevance,
 c: entity assumption, d: understandability, e: comparability and/or
 accounting period, f: going concern, g: timeliness, h: materiality

6

Current assets		
Stock of supplies		1 500
Non current assets		
Motor vehicle	25 000	
Equipment	40 000	65 000
		66 500
Current liabilities		
Bank overdraft	3 700	
Loan due 6 months	2 000	
	5 700	
Non current liabilities		
Loan due 2 years	50 000	55 700
		\$10 800
Proprietorship		
Capital	14 800	
Less drawings	4 000	\$10 800

4 TRANSACTIONS AND DOCUMENTS

- 1 Yes, No, Yes, No, Yes, Yes, No
2 No, Yes, Yes, Yes, No, Yes, No, Yes

3

	Assets	Liabilities	Owner's equity
	6 000	2 000	4 000
a	6 000	2 000	4 000
b	8 000	4 000	4 000
c	7 600	4 000	3 600
d	8 000	4 000	4 000
e	7 900	4 000	3 900
f	5 900	2 000	3 900

- 4 Cash register roll, receipt, cheque, invoice, credit note

5

Date 3/3/05 Payee Mobil Chq 180 Balance 76889	BANK OF ANYWHERE, SMITHTOWN		Date 3/3/05
	Pay Mobil service station	or bearer	
	The sum of One hundred and eighty dollars		\$ 180
	George's Fish Bar 35546 – 76889	Signed	George _____

- 6 Solution to crossword

Across

- 1 Current Assets
5 Mortgage
7 TwoFold
10 Entity Assumption
11 Owners Equity
13 Overdraft
14 Receipt
15 Liability
16 Non Current Asset

Down

- 1 Credit Note
2 Transaction
3 Cash Register Roll
4 Accounting Equation
6 Document
8 Proprietor
9 Invoice
12 Cheque

5 PROFIT, INCOME, EXPENSES

- 1 a: \$147 000, b: \$306 000, c: \$52 000
2 Profit \$20 500
3

	Cash flow	Statement of financial performance (profit and loss statement)	Statement of financial position (balance sheet)
Cash sales	✓	✓	
Loan from bank	✓		✓
Credit sales		✓	✓
Wages	✓	✓	
Bad debts		✓	
Electricity	✓	✓	
Repayment of loan from bank	✓		✓
Advertising on credit		✓	✓
Credit purchase of stock			✓
Cash drawings	✓		✓
Unpaid telephone account		✓	✓
Payment of advertising account	✓		✓
Depreciation		✓	

- 6 Capital contributions, Drawings (cash and other assets), Profits, Losses, Revaluation of assets
7 increases in prices or increases in numbers sold
8 if increases in prices results in decreases in numbers sold

6 ACCRUAL ACCOUNTING

1

Revenue		
Credit sales	65 000	
Cash sales	25 000	90 000
Less cost of goods sold		43 000
Gross profit		47 000
Less expenses		
Wages	23 000	
Electricity	600	
Telephone	1 100	
Rent	3 500	
Motor expenses	1 200	
Advertising	6 800	
Depreciation	2 500	38 700
		8 300
Add other income		
Interest revenue		800
Net profit/Loss		\$9 100

2

Accrual accounting	C
Prepaid expenses	A
Prepaid revenue	D
Accrued expenses	E
Accrued revenue	B

3

a	1/7/04	30/6/05
	5 000	7 000
b	1/7/04	30/6/05
	2 000	2 000
c	1/7/04	30/6/05
	20 000	
d	1/7/04	30/6/05
	18 000	5 000

- 4 True, false, true, false, false, true, false, false, true

7 PROFITABILITY – RTA

- 4a 33.96%, 55.33%
4b Increase in RTA. NPR decreased from 34.66% to 34.37% while Asset turnover increased from .98 times to 1.03 times.

8 1: False, 2: true, 3 true, 4: false, 5: true

8 PROFITABILITY – ROI

2 Drawings of stock by owner, decrease in cost of goods sold (provided no other changes), increase in profit, drawings of cash by owner, increase in liabilities (depends on increasing assets and increasing profit as a result of the increase in liabilities).

4a Average owner investment: \$120 000, 140 000, 160 000

Return on owner's investment: 54.5%, 53.8%, 53.3%

4b Slight decrease. Increase in profit but increase in capital greater than the increase in profit.

4c 17.7%, 21.9%, 25%

5 May be new business – possibility of growth, may be bad year, owner like to keep all profit which may grow, owner likes to be own boss and make own decisions.

6a

Interest: \$7 500, 9 000.

ROI 40%, 38.9%.

ROI (after OC) 8.3%, 11.7%

7a ROI 40%,

7b ROI 32%

7c ROI 53.3%

7d In 7b, there is greater profit but greater OI therefore ROI decreases. In 7c, there is greater profit from the same amount of capital, therefore ROI increases.

9 PROFITABILITY – GPR

4a

	Year 1	Year 2	% change Yr1 – Yr 2
A Sales revenue	500 000	550 000	10.0%
Cost of goods sold	300 000	315 000	5.0%
Gross profit	200 000	235 000	17.5%
B Sales revenue	600 000	650 000	8.3%
Cost of goods sold	380 000	420 000	10.5%
Gross profit	220 000	230 000	4.5%

4b A – sales increased faster than cost of goods sold

B – gross profit increased but cost of goods sold increased faster than sales

5 If cost price of items stayed the same, then the numbers of items sold must have increased because Cost of goods sold increased. Selling price must have also increased because sales revenue increased more than the cost of goods sold.

9a Yes, if the selling price stayed the same

9b no – must be concentrating on products with higher mark up

9c the gross profit ratio will decrease if the selling price has been decreased

9d there will be no change in gross profit ratio if the selling price stays in the same relationship with the cost price.

10 False, true, false, true, false, true

10 PROFITABILITY – NPR

2 Cost of goods sold has increased (21%) faster than sales (13%) over the two years

3 decreased selling price with increased numbers sold. Decreases in cost price, greater expense control, greater control of stock losses.

5a 23.3%, 18.46%, 30.6%

5b Year 1–2 sales increased 8%, cost of goods sold increased faster (16.6%), expenses increased 12.5%. Net profit ratio decreased due to the fall in the gross profit ratio and the increase in expenses.

Year 2–3 sales increased 15.3%, cost of goods sold decreased 8.5%, expenses increased 11%. Net profit ratio increased because of the decrease in cost of goods sold and increase in GPR, despite the increase in expenses.

7 False, true, false, true, false, false

8 net profit, sales revenue, revenue, net profit, cost of goods sold, expenses, decrease. A business is profitable if it is using its resources effectively to generate profit (resources – sales revenue, assets, owner's equity)

11 LIQUIDITY – CASH FLOW AND COLLECTIONS

2 Extending the terms of trade is good for business if it results in increased sales. A disadvantage would be that it slows the cash cycle and increases the risk of bad debts

6 Offering discount is bad for the business if the discount rate is greater than the interest rate the business is paying on an overdraft

7 A:\$435 000, B:\$900 000, C:\$669 130, D:\$703 600

10 Cash collected – Nil, Bad debt \$1 300
Cash collected \$2 040. Bad debt \$3 960
Cash collected – Nil, bad debt \$4 500

12 Factoring, Discount allowed, Terms of Trade, Credit checks, Bad Debts, Bankrupt, Credit sales

12 BUDGETING

6

Next period		
No. to be sold	Price per item	Total Revenue
5 400	21	113 400
5 880	15	88 200
2 000	10.30	20 600

8

	Credit sales	Amount to be received in April	Amount to be received in May	Amount to be received in June
January	20 000	2 000	–	–
February	24 000	7 200	2 400	–
March	25 000	15 000	7 500	2 500
April	22 000	–	13 200	6 600
May	26 000	–	–	15 600
June	28 000	–	–	–
Total		24 200	23 100	24 700

9

Towell Enterprises		
Budgeted statements of cash and profit for year ended 30 June 2005		
	Cash budget	Profit budget
Cash sales	28 000	28 000
Credit sales	–	134 000
Collections from debtors	132 000	–
Cost of goods sold	–	63 000
Payments to creditors	(89 000)	–
Gross profit	–	99 000
Advertising	(22 000)	20 700
General cash expenses	(71 000)	70 000
Drawings	(40 000)	–
Net profit	–	8 900
Cash balance at 1 July 2004	2800	
Cash balance at 30 June 2005	(59 200)	

15 STABILITY

- 4a Gearing 2006 84.4%, 2007 75.3%
- 4b Total assets have increased 10% and total liabilities have decreased 1.3%
- 4c Proprietary ratio 2006 15.6%, 2007 24.7%
- 7a Interest cover – Business A 4.46 times, Business B 3.2 times
- 8a Existing ratios – Gearing 50%, Interest cover 9 times, ROI 20%
- Borrowed funds – Gearing 66.6%, Interest cover 7 times, ROI 30%
- Owner finance – Gearing 33.3%, Interest cover 13 times, ROI 15%
- 8b Finance using borrowed funds BUT need to repay loan, increasing risk, increase interest expense – what happens if profit falls? Has the owner got the money? (Interest rate is very low – 2.5%). The return on assets is 11.6% so the business should be able to generate more profit with the new assets)

16 EFFICIENCY – DEBTORS

- 2a Debtors turnover 2006: 67 days, 2007: 60 days
- 5 It is not always good to reduce debtors turnover if it means that sales are lost, especially of expensive goods where debtors need longer to pay
- 6 Compare debtors turnover to debtors credit terms, budgets, other businesses, past history
- 8a Not necessarily – sales might be increasing
- 8b This may be true – debtors would pay earlier to take advantage of the discount
- 8c This would be true – if the debtors have decreased
- 8d No – the cash cycle should be getting better if the turnover has decreased
- 9a Debtors turnover 2005: 73 days, 2006: 64 days, 2007: 70 days
- 9b 2005–2006 increased sales by 50%, debtors increased 43% therefore the turnover improved
- 2006–2007 increased sales by 16%, debtors increased 28% therefore the turnover declined

10

Debtors collections	E
Discount allowed	D
Bad debts	F
Debtors turnover	A
Working capital ratio	B
Cash cycle	C

17 EFFICIENCY – CREDITORS

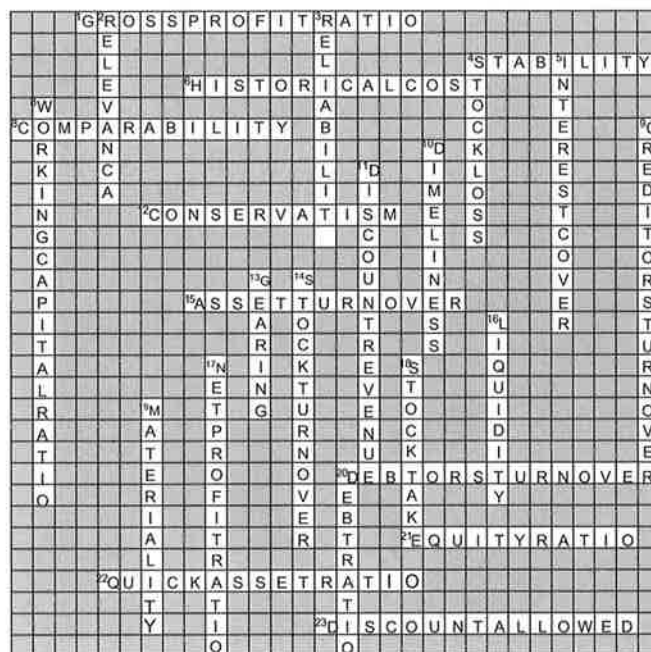
- 2a Creditors turnover 2006 64 days, 2007 58 days
- 2b Creditors turnover has improved because purchases have increased more than the increase in creditors
- 4 It is not always good to improve the creditors turnover – if the business has a bank overdraft this will increase as the creditors are paid and this will incur interest, however, it may improve the relationship with the suppliers.
- 5a Creditors turnover 135 days, WCR 2.5:1
- 5b Creditors turnover 110 days, WCR 2.8:1

- 7a Asset turnover 2006 1.6 times, 2007 1.56 times
- 7b Asset turnover is decreased very slightly because the increase in assets is greater than the increase in sales
- 8 False, true, false, false, false, true, false*, true, false
- *once the assets get into full production and start to increase profit the asset turnover should improve

18 EFFICIENCY – STOCK

- 2a Stock turnover 2006: 50.6 days, 2007: 45 days
- 2b Yes, the number of days the stock stays in the warehouse is decreasing
- 4a Possibly true – stock not turning over as quickly as it should
- 4b this is not true, stock losses decrease the stock on hand and would improve the turnover
- 4c Yes, the increased stock on hand will decrease the stock turnover
- 4d No, if the sales and the cost of goods sold increase it should improve the stock turnover
- 4e Yes, the higher value stock will move more slowly, therefore increasing the turnover
- 9a Year 1–2: stock turnover has declined (the number of days in the warehouse has increased) – may be due to increased holding of stock, or decrease in cost of goods sold while stock holdings remain constant, may have moved to more expensive stock
- Year 2–3: stock turnover improved – holding less stock, move back to cheaper stock, increased sales and cost of goods sold while stock holding remain constant.

19 LIMITATIONS TO RATIO ANALYSIS AND KPIS



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